

# The \$100 Startup

Reinvent the Way you Make a Living,  
Do what you Love, and Create a New  
Future

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## The Big "So What"

With technology today, it's much faster, easier and cheaper to build a small business. This book presents a **blueprint to help you start your own microbusiness** – one that can coexist with whatever you're currently doing, and/or eventually replace your traditional job. The big idea is, you can **do something meaningful that you love, make money while doing it, and define your own future and freedom.**



## Introduction

Microbusinesses are typically small businesses run by one person. Although they have been around for a long time, technology has made it possible to test, launch and scale your business quickly and cheaply.

Guillebeau identified 1,500 individuals who had successfully built **businesses with \$50,000 annual net income, mostly with start-up capital of \$100 or less** (and no more than \$1,000). From this group, he focused on the 50 most interesting case studies. Most of them can be operated by ordinary people with no special skills. The case studies are from all over the world, with about half from the USA.



## The MicroBusiness Revolution



### Charting your future

Many entrepreneurs didn't start out with the intention to do business. They often started out of necessity or accident, e.g. when they lost their jobs, or developed a solution for

## KEY QUOTES

*"This book...has two key themes: freedom and value. Freedom is what we're all looking for, and value is the way to achieve it."*

*"The blueprint does not tell you how to do less work; it tells you how to do better work... Read it if you want to build something beautiful on the road to freedom."*

*"It's a microbusiness evolution – a way of earning a good living while crafting a life of independence and purpose."*

*"Our story is about people who start their own microbusinesses without investment, without employees, and often without much of an idea what they're doing."*

themselves that others also wanted to use. In such cases, the founders had no prior business experience, and often had no idea what they're doing, but succeeded anyway.

They are proof that you can build a business that allows you to do what you want to do. Your business should work around your life, not vice versa. Guillebeau's own businesses enabled him to visit almost every country on earth by his early thirties, and he has never held a "real job".

Obviously, you don't need to pursue a nomadic lifestyle if you don't want to. But, if you wish to have a business that gives you freedom to travel round the world, the book includes many such examples. Two of the easiest businesses to start with are information publishing and consulting.

### The Point of Convergence

From the case studies, Guillebeau identified 3 key foundations behind the success stories:



**Passion.** In many of the case studies, people start doing something out of interest or passion – be it arranging free travel using air miles, or making wedding dresses. As more people learn about what they have to offer and ask for it, they start charging a fee, and the business is born. Passion is an important ingredient that keeps us going in face of failures. However, passion alone is not enough.



**Usefulness.** You must direct your passion toward something that helps people. Specifically, find the point of convergence – the area of overlap between

## KEY QUOTES

*"The business is structured around my life, not the other way around."*

*"There's no rehab program for being addicted to freedom. Once you've seen what it's like on the other side, good luck trying to follow someone else's rules ever again."*

*"There's no failproof method; in fact, failure is often the best teacher... We'll study how these and other brave entrepreneurs forged ahead and kept going, turning potential disasters into long-term successes."*

*"The missing piece is that you usually don't get paid for your hobby itself; you get paid for helping other people pursue the hobby or for something directly related to it."*

what you love to do, and what people are willing to pay for. For example, Benny Lewis travels extensively and enjoys learning new languages. He realized that people are prepared to pay to learn a new language in 3 months, and found a way to monetize this.



**Skills Transformation.** Your business may not be built directly on your passion or hobby, but on something *related* to it. Most of us are good at multiple things. The crux is to :

- o Apply your knowledge or skill to a related area that's useful for customers; and/or
- o Combine a range of ordinary skills in a way that creates value. For instance, a cartoonist needs writing and art skills, a sense of humour and some business experience – each skill may not be outstanding but when combined, they create value.



### Creating Value

Your freedom hinges on how far you help or add value to others. Offering value is about helping your customers; at the core, most human needs are emotional (e.g. our need for love and affirmation). For example, people at a horse ranch are not just buying horse rides; they are buying a sense of escapism and happiness. Many restaurants don't just offer food and drinks; they offer a place to relax after a hard day's work. Focus on helping others, and learn to articulate the emotional benefits (not boring features) that you bring.



**Give the fish (don't teach them to fish).** Very often, customers just want to be served the fish; they don't want to learn to fish. When you visit a nice restaurant, you want to enjoy your meal, not learn to cook. **Keep it simple - find out what people want, and just "give them the fish".**



**Identify opportunities.** Ideas and opportunities are everywhere. **(Passion + skill) + (Problem + marketplace) = Opportunity.**

## KEY QUOTES

*"You already have the skills you need – you just have to know where to look."*

*"To succeed in a business project, especially one you're excited about, it helps to think carefully about all the skills you have that could be helpful to others and particularly about the combination of those skills."*

*"Value is created when a person makes something useful and shares it with the world."*

*"Value means helping people... More than anything else, value relates to emotional needs."*

*"Freely receive, freely give... When all else fails, ask yourself how you can help people more."*

- o Inefficiencies: When you're frustrated with the way something works, there are probably others who are also frustrated and looking for alternatives;
- o New technology: The wide use of smart phones creates not only opportunities for apps and smart-phone gadgets, but also for paper products positioned as alternatives to an all-electronics world. Where there are new technologies, there are new opportunities;
- o Changing space: Consider if and how a space (e.g. an old, unused building) can be re-purposed for a different use; and
- o Spin-off or side-project: Consider offshoots from a successful business, e.g. a music teacher who also sells music textbooks.



Identify real wants & needs. We add value when we **give people more of what they want (e.g. love, money, recognition, free time), or take away what they don't want (e.g. stress, uncertainty, hassle), or both**. Here are some tips:

- o Uncover hidden needs. Often, what people want is different from what they say they want. The best way to assess if you're creating value is to see if customers buy; If they don't, ask what you must do differently.
- o Make your customer a hero. Consider how you can make your customers look good in front of others - e.g. a software that helps them complete their work faster.
- o Evaluate ideas using money. Learn to ask questions like "How would I get paid with this idea?", "How could I get paid or get paid more than once with this idea?"

## KEY QUOTES

*"Compared with working just to make a living, it's much easier to do what you love and get paid for it. You just have to find the right passion, the right audience and the right business model."*

*"You must focus continually on how your project can help other people, and why they'll care about what you're offering in the first place."*



It's important to know who our customers are, and how to find them. However, instead of traditional demographics like age, gender, race, income, location, it may now make more sense to look at shared interests, values, beliefs, passions, skills.



To develop new customer groups:

- Leverage on a popular hobby, fad or craze by **establishing yourself as an authority and simplifying parts of the process for people**. For example, adopting a popular diet plan yourself, then helping others who are struggling to implement the diet.
- Sell what people buy (and ask them if unsure). If you're unsure which idea to implement, the best way is to **ask your customers or prospects directly**. But, instead of asking if they "like" it, ask if they are willing to pay for it, and use questions like "What's the #1 thing I can do for you?"



Evaluating options. You may get so much feedback and options from your customers that it becomes overwhelming. **Start by capturing all the ideas, then evaluate projects and options using these tools:**



Start with a "baseline evaluation". There are only 3 things that you must have in a microbusiness (everything else is optional):

- o Does the project produce an obvious product or service?
- o Are there customers? (Do you know people who'll want to buy it, and do you know where to find them?)
- o Do you have a way to get paid (i.e. exchange your product/ service for money)?

## KEY QUOTES

*"Old-school marketing is based on persuasion; new marketing is based on invitation."*



When you have a "yes" to all 3 questions, you can proceed to the decision-making matrix. Score each idea (on a scale of 1-5) against these 4 criteria:

- o Overall impact on the business and customers
- o The amount of time and effort required
- o The profitability relative to other options
- o The level of fit with your overall mission and vision.

The aim is to identify your next steps, not necessarily choose 1 single option.



Create a "possibilities list" to keep track of other ideas that you may want to revisit in the future.



## THE STEP-BY-STEP GUIDE TO LAUNCHING YOUR BUSINESS

The \$100 Startup Model is about taking action. There are many free resources on the official website, [www.100startup.com](http://www.100startup.com). In this segment, we'll outline the approach (with the download links), so you can start putting the ideas to practice right away.



### The One-Page Business Plan

Many people spend all their time making a plan that doesn't convert to action. It's much better to quickly outline a 1-page business plan (download template [here](#)). **Focus on taking action and "plan as you go".**



**Select a marketable idea.** You don't need a huge idea; you just need something useful enough that people will pay for. That's why you should start asap - avoid spending too much resources until you've tested that people want what you have to offer. Use the 7 Steps to Instant Market Testing guide (download [here](#)).

## KEY QUOTES

*"Most of the time... having an idea isn't a problem for entrepreneurs... The problem is evaluating which projects are worth pursuing, and then decision between different ideas."*

*"In the battle between planning and action, action wins."*

*"A marketable idea doesn't have to be a big, ground-breaking idea; it just has to provide a solution to a problem or be useful enough that other people are willing to pay for it. Don't think innovation; think usefulness."*



**Marketing before manufacturing.** Test that there's sufficient demand for your product/ service, before you spend all your time and effort figuring how to make it. And, keep costs low by investing your own time and effort initially (rather than sinking in your savings or borrowed money). False starts and initial failures are common; this approach minimizes the impact of potential failure.



**Get your first sale asap.** At the start, your challenge is inertia (not competition). Your first sale provides a huge motivator and morale booster to keep you going.



**Regroup after initial success,** to see what needs to be done next, e.g. sub-contract less important tasks to free yourself for more vital ones. Figure out if/ how you can duplicate your initial success.



**Explain your business** with a short Mission Statement of 140 characters or less, using this simple formula:

We provide [product or service] for [customers].  
We help [customers] to do/achieve/other verb [primary benefit].

Consider incorporating a community project or social cause into your business. When you receive freely and give freely, you'll find your business to be a lot more fulfilling and rewarding.



### Creating a Killer Offer

To craft an offer that people can't refuse, you need the Right Audience, the Right Promise, and the Right Time. All your messages should have a good story that's relevant to your audience, with the right amount of urgency. In crafting your messages, remember:



What people want is not necessarily what they say they want. For example, for years, people have said they want extra legroom on airline flights; yet, most are not willing to pay more for it. A great offer is

## KEY QUOTES

*"The first time you make a sale in a new business, no matter the amount, it's a very big deal."*

what people want and are willing to pay for.



Most of us like to buy, but we don't like to be sold to. While persuasive marketing is still useful, it's more effective to create the impression that the customers are **receiving an invitation rather than a sales pitch**. Focus on emotional benefits, not features.

Here are 3 additional tips to improve your offer:



**Frequently Asked Questions (FAQ).** A good FAQ page helps to address the main objections that the buyers could have. Provide the primary benefit, secondary benefit, respond to concerns, and encourage them to take action



**Satisfaction Guarantee.** Offer a satisfaction guarantee and keep it simple, so your customers won't overthink it. You can even offer an "incredible guarantee" like a 110% refund.



**Over-deliver.** People sometimes get buyers' remorse, so you want to make them feel good by offering acknowledgement and reassurance immediately, and give them quick access to their purchases. To over-deliver, you can upgrade their purchases, send a handwritten thank-you card or something they didn't expect.



### *Gentle Self-Promotion through Hustling*

Hustling is about getting the word out about your project. **Besides taking action on your business, you must be willing to promote it.** Create a great offer, share it sincerely, then get people to talk about it. For example, you can write to people who share similar values, beliefs or could benefit from your project. Share your big goal or idea, the main benefit of your project, and 1-2 action items that they can do to support you, if they like your idea.

**Give freely and receive freely - it works.** Guillebeau suggests that you keep saying "yes" to ideas, requests and opportunities until you have a good reason not to, or just

## KEY QUOTES

*"Compelling offers often create an illusion that a purchase is an invitation, not a pitch."*

*"The way we place a value on something isn't always rational. You must learn to think about value the way your customers do, not necessarily the way you would like them to."*

*"Being willing to promote in an authentic, non-sleazy manner is a core attribute of microbusiness success."*

*"The more you focus your business on providing a valuable service and helping people, the more your business will grow."*

give something away. Use the **1-page promo plan** as a guide (download [here](#)).



## Launching your Product/ Service

Launching your product is like launching a Hollywood blockbuster movie, with months of planning. You can use the 39-step product launch checklist (download [here](#)) to guide you.

The idea is to tell a story, rolling it out in parts, and building up the suspense. Here are the key elements:



### Pre-launch

- **Sneak peak:** Start with a teaser that something interesting is coming up, and explain why your prospects or customers should care;
- **Why it matters:** Explain why your project is a game changer, how people will benefit, and why it should matter to them.
- **Share the plan:** Give details of the launch, focusing on what they need to know now (e.g. launch date, early bird bonuses etc.)
- **Almost-there:** Remind people of launch details just before the big day. You want them to decide now that they're in.



### Launch

- **It's finally here! (Launch Day)** If you've done the preparation well, this step is typically short, with just a link or instructions to encourage action.
- **Updates.** Keep your prospects and customers updated on the progress; share how other customers are happily enjoying your product.
- **Last chance!** Before the end of your offer, do a final push. Make sure you stick to your promise and don't extend or change terms.
- **Appreciation.** Thank everyone and let them know what's next.

Take a break after your launch to recharge and celebrate, but start thinking how else you can help people and serve them further. Remember: **your launch is not just about sales; it's also about building your relationships and influence.** Compared to advertising, hustling and relationship-building strategies take time, but they yield greater mileage in the long run.

## KEY QUOTES

*"Advertising is like sex: Only losers pay for it."*



## Money matters

There's no business without revenue. Yet, business owners often get distracted with non-revenue-generating activities. **Here are 2 simple principles to manage your money:**



**Keep costs as low as possible.** The businesses covered in the book began with an average investment of \$610.60. In the initial stages, the best way to avoid excessive financial commitment is to start small. If you really need additional funds, consider going for crowdfunding instead of loans.



**Make more money.** To improve profitability:

- o Price your product / service based on Benefits, not Costs.
- o Offer a small range of prices, so you can (a) increase your income without increasing your customer base; and (b) create a "price anchor" to make the lower prices seem more reasonable.
- o Get paid repeatedly using memberships or subscriptions.
- o Try raising prices – it may not don't always result in a drop in conversion. To test this, try raising the price with no changes and see what happens.



## LEVERAGE AND NEXT STEPS



### Improving Profitability through Small Tweaks

**It's generally easier to grow a business than to start one.** You can greatly improve business profitability through small changes. Focus your tweaks on increasing:

- Traffic, e.g. visits to your website or to your store.
- Conversion, i.e. the percentage of prospects who become customers. The best way to do this is through A/B testing (test an offer, headline, or copywriting against another).
- Average sales price, through upsells (e.g. offer a

## KEY QUOTES

*"Spend as little money as possible and make as much money as you can."*

*"Small is beautiful, and all things considered, small is often better."*

*"When you base your pricing on the benefits you provide, be prepared to stand your ground, because some people will always complain about the price being too high no matter what it is."*

*"[Your product] doesn't need to be cheaper – competing on price is usually a losing proposition."*

*"The not-so-secret to improving income in an existing business is through tweaks: small changes that create a big impact."*

premium version or additional item upon purchase), cross-sells (e.g. offer related items upon purchase) and sale-after-use (e.g. make a special offer to customers immediately after a sale).

- **Sales to existing customers.** Build relationships with your customers, and make additional offers that will benefit them.

Some examples of action-based tweaking include: encourage referrals, hold a contest, or create a hall of fame for your best customers. **You can also add a service to a product-based business, or create a product from a service-based business.**



*Grow at your own pace, to your ideal size*

**You should only grow your business if you want to.** After all, a big business with a huge team and overheads doesn't guarantee long-term success. In fact, Having the stable income from a full- or part-time job can give you the peace of mind to build your business slowly and steadily. If you're in a creative business, depending on it as your only source of income could also bring so much stress that it drains you of your creativity.

Hence, **you should consider the role that your business plays in your life, and decide if you prefer a small "freedom business", or to go all in and build a full team.** If you decide to grow your business, you can do it horizontally (by serving more related customers or interests) or vertically (by serving the same customers with more levels of need).



*Franchising yourself*

When you buy a franchise, you put in a large investment, follow someone else's guidelines and business model, and build their brand. **A more rewarding option is to clone yourself (your skills, activities and passions).** It can also satisfy your itch for new projects as your business grows and stabilizes. **You can self-franchise in at least 3 ways:**

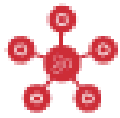
## KEY QUOTES

*"Although some customers would make more than one purchase, the best way the customers could help was by referring other buyers and fans."*

*"There's no point pursuing growth for growth's sake; you should scale a business only if you really want to."*

*"Become as big as you want to be (and no bigger)."*

*"Buying into someone else's franchise isn't usually a good idea, but figuring out how to leverage our own efforts is almost always worth careful consideration."*



The Hub-and-Spoke model **creates spin-offs from your core business.** Your "hub" is the home base where you drive visitors to (e.g. your main website, blog, community). Spokes are "outposts" where you spend your time e.g. social networking sites, meetings, networking events etc. **Every spoke must support the hub.**



A partnership can be forged through a joint venture by 2 or more people. **It has to be built on synergy, such that 1+1=3** and the partners can achieve together what each person can't achieve on his/her own. It's important to lay out (in advance) how the money will be split, each partner's responsibilities, how information will be shared, how the project will be jointly marketed, how long the agreement will last and how often the partners will meet.



Outsourcing. **This option allows you to grow the business as a solopreneur, without doing everything yourself.** However working with sub-contractors comes with its own challenges - balls may be dropped, and talented assistants often leave after they gain experience. **In deciding whether to outsource, consider (a) if your business roles can be clearly defined and communicated, and (b) the type of business you want** (e.g. a mobile, low cost business that gives you freedom, versus a business that can outlast you).



### *Monitoring your business*

As your business grows, you'll need to review different aspects, fix problems and identify small actions you can take for long-term results.

- **Use this 2-pronged strategy to monitor the health of your business:**
  - o Select 1-2 metrics to monitor on an ongoing basis (e.g. sales, cash flow, leads); and
  - o Leave everything else for a biweekly or monthly review, when you look deeper into your business.

## KEY QUOTES

*"Franchising yourself isn't just doing more; it's about taking your skills, activities and passions to a higher level to create better returns."*

*"Just don't open a sandwich shop with someone else's name on it. A better way is to franchise yourself."*

- **Do a regular audit** of your sources of income, your marketing and messaging, your price-points, your monitoring and testing, and the biggest opportunities you are missing.
- **Work on your business, not in it.** To avoid fighting fires daily as your business grows, dedicate 45 min of uninterrupted time daily to think about the future of your business, or how you can move ahead, considering your business development, offer development, long-standing challenges, pricing strategies, and customer communication.



### Build to sell

The built-to-sell model is fundamentally different from the \$100 Startup model:

- The **\$100 Startup model** is great for transitioning to a business or new career, based on something you love to do.
- The **build-to-sell model** is about creating an separate entity that you can sell off for a big reward. It typical requires more capital and employees.

The right model will depend on what you want from your business. However, **to give yourself more options, it's best to plan for a product/ service that (a) has the potential to scale, (b) is teachable, and (c) valuable.**



### Conclusion

This book is about starting a business that can support the life you want. While all the entrepreneurs interviewed come with their share of fears and worries, the biggest obstacles they overcame are those of self-doubt and inertia - this book provides the key steps you need to start taking action.

If the ideas of the \$100 Startup resonate with you, do check out the various case studies in the book for added inspiration, as well as the useful links and resources on the **official website**. The book and website also include:

## KEY QUOTES

*"Do what makes sense for you, not someone else."*

*"Since it's so much easier to start a microbusiness, why do something different unless or until you know what you're doing?"*

*"Don't confuse advice for permission. You don't need anyone to give you permission to pursue a dream."*

*"Sometimes the best advice is none at all. If you know what you need to do, the next step is simply to do it. Stop waiting. Start taking action."*

*"Creativity and initiative will get you far, regardless of the starting point."*